



Assignment 2

Supply Chain Management

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Sneh Pahuja

Prof. Sujit Shedage

Question 1: Supplier Evaluation Criteria Design

Criteria and Sub-Criteria	Weight	Rationale/Explanation
1. Reliability and Risk	27%	Reliability is weighted high as it directly determines supply continuity and brand protection at global scale. Based on Teng & Jaramillo (2005), this cluster evaluates a supplier's consistency across delivery, quality, and financial dimensions
1a. Delivery Reliability 1a1. Freight Terms 1a2. Warranty Policy 1a3. %On Time Shipment	13% 4% 4% 5%	Measures how consistently the supplier meets FOB commitments. Even minor delays cascade into store stockouts, especially considering this is international sourcing. Freight terms scores the supplier based on their responsibility and reliability over the shipping process. Warranty Policy scores the supplier on responsibility for non-conformities or issues. % of On Time Shipment shows how consistently the supplier performs despite constantly changing supply chain environments.
1b. Quality Reliability 1b1. Defect Rate 1b2. Sample Quality	6% (split equally amongst the two factors)	Higher number of defects and low quality leads to higher costs and lower customer satisfaction in the long run.
1c. Financial Reliability 1c1. Debt Coverage 1c2. Credit Rating	8%(split equally amongst the two factors)	A financially unstable supplier poses a continuity risk on a contract of this size (ISM, 2024).
2. Cost of Goods and	30%	Since this is a basic

Services		commodity product, costs being minimised leaves capital for resource- heavy products. Additionally the main reason for outsourcing in the apparel industry is for lower costs(Teng & Jaramillo, 2005).
2a.Supplier Cost	12.5%	Even a 0.5% price difference compounds into significant savings, making cost a genuinely differentiating factor despite all the suppliers being in the same area.
2b.Internal Costs	5%	It is less of a differentiating factor between suppliers given the contract already manages it with the Incoterms, and other clauses.
2c. Invoice and Ordering Cost.	12.5%	Invoicing complexity across time zones and languages creates operational friction in international sourcing. Issues in this will lead to higher costs later on the chain.
3.Trust and Communication	25%	This criteria helps choose between suppliers for long-term strategic relationships. Down the line, they can also expand to other SKUs, and with trust and communication, if any political, geographic, or industry specific disruptions occur, a solution can be discussed together benefitting both parties. Additionally transparency about supply chain processes will translate better to investors, shareholders, and the

		public.
3a. Customer Service	5%	How helpful and quick is their service for any queries, concerns, discrepancies.
3b. Years of Experience	5%	Helps build trust in their service.
3c. Information Sharing	5%	For transparency and trust.
3d. Turnaround Time(TAT)	5%	For efficiency in resolving issues.
3e. Negotiability	5%	For long-term relationships.
4. Flexibility	10%	Capacity to absorb demand variability is operationally important but lower weight since the product is a basic staple with predictable replenishment. Scored on Teng & Jaramillo's (2005) four-point scale: Very High to Low.
4a. Production Capacity	3%	
4b. Inventory Availability	3%	
4c. Total Lead Time	4%	Higher weightage due to need for responsiveness.
5. Certifications and Labour Standards	4%	Lower weight as certifications are a pass/fail contract requirement rather than a differentiator.
6. Environmental Sustainability	4%	Similar to labour standards, there are specific benchmarks which the supplier must meet before the scorecard, given Tirupur's history of industrial water pollution and the Palar River contamination. This criteria will evaluate

		additional standards met, as well as raw material sourcing and current recycled water usage.
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Question 2: Procurement Contract Clause Draft

The following clauses form part of a three-year procurement agreement between [Buyer] and the selected garment manufacturer, Tiruppur, India, for the supply of basic cotton T-shirts.

Clause 1 : Scope of Supply

Parameter	Detail
Product	Unisex white round-neck half-sleeved cotton T-shirt
Annual Volume	12–15 million units
Per Shipment (net)	930,000 – 1,260,000 units
Per Shipment (gross)	~960,000 – 1,300,000 units (incl. 3% defect buffer)
Shipment Frequency	Every 3–4 weeks on a rolling basis
Size Ratios (per shipment)	XS: 5% S: 15% M: 30% L: 25% XL: 15% XXL: 10% (adjustable)

Rationale: Store count of 3,000 globally (Based on Zara's stores number) $\times$ 100 units/store/week $\times$ 3–4 week shipment cycle derives the per-shipment quantity. Size ratios are weighted toward M/L reflecting global median sizing, with regional adjustments permitted.

Clause 2: Quality and Inspection Standards

Defect Type	AQL Level	Action on Breach
Critical	0% Zero Tolerance	Immediate 100% inspection; full cost borne by Supplier
Major	2.5%	100% inspection triggered; Supplier bears cost and replaces units
Minor	4.0%	Lot accepted; Supplier replaces defective units

Inspection Level	Switching Procedure
GII - Normal Batch Size	Standard level for all shipments
GIII - Escalated (Bigger Batch Size)	Triggered on repeated non-conformance; maintained for 3 months
GI - Reduced Batch Size	Applied after 6 months of sustained compliance

Third-party inspections are mandatory at Pre-Production I inspection (PPI), During Production Check(DUPRO), and Pre-Shipment Inspection (PSI) stages every cycle. One golden sample (ideal) retained by Buyer. All breach inspection costs borne by Supplier.

Rationale: PPI catches fabric/material issues before production starts. DUPRO is retained despite high cost given 1.2M unit batch sizes since a mid-production catch prevents full-batch PSI rejection. PSI is the most critical final check per QIMA industry standards.

Clause 3 : Delivery Schedule and Logistics

Element	Requirement
Incoterm	FOB Tuticorin (V. O. Chidambaranar Port), Incoterms 2020
Ex-Factory Date	Minimum 5 days prior to agreed FOB date (1 day inland transit + 2.5 days avg. port dwell + 1.5 days buffer)
Risk Transfer	Transfers to Buyer upon loading onto nominated vessel
Supplier Port Liability	Supplier bears risk for up to 4 days at port awaiting vessel
Shipping Documents	Commercial invoice, packing list, bill of lading must be submitted within 48 hours of loading

Rationale: FOB chosen over CIF as Tirupur manufacturers cannot reliably manage complex global logistics at this volume. Tuticorin (VOC Port) selected over Chennai for its significantly faster export dwell time (~64 hours vs ~6.4 days) despite being ~100km further. Ex-factory lead time of 5 days is derived from actual port data.

Clause 4 : Payment Terms

Period	Letter of Credit Type	Deposit	Balance	Balance Trigger
Months 1–6	Irrevocable	30%	70%	FOB Date
Months 7+	Revocable	40%	60%	FOB Date

Currency: USD.

Deposit payable on Purchase Order Confirmation.

Currency fluctuation clause: price renegotiation triggered if USD/INR moves beyond 3% from rate at PO confirmation date.

Rationale: Irrevocable LC in first 6 months protects the supplier, builds trust, and incentivises full commitment to production. Transition to revocable LC after trust is established gives the Buyer flexibility; higher deposit at 40% compensates the supplier for increased risk. Deposit on PO confirmation (not PPI) enables immediate fabric procurement.

Clause 6 : Penalties

Delay Period	Penalty (% of PO Value)	Note
Days 1–7	0.5% per week flat	Force majeure excluded: port congestion, customs, natural disaster. 48hr written notice required
Days 8-14	1.0% per week flat	Cumulative from Day 1
Days 15-21	2.0% per week flat	Cumulative from Day 1
Maximum Cap	8% of PO value	Applies across all delay periods

Quality Trigger	Action	Escalation Condition
AQL Breach	Replace units + bear 100% inspection cost	
>10% defects — Shipment 1	Formal warning	Corrective action plan

>10% — Shipment 2, no improvement	Termination	Improvement = minimum 1.5% reduction in defect rate
Returns within AQL	Normal Monitoring Resumes	Inspection level reverts back to normal

Breach Type	First Instance	Second Instance
Sumangali / Forced Labour	Terminate employees involved; written proof within 1 month	Contract termination
Water Recycling Target Missed	3 months to show improvement	Contract termination
Certification Lapse (OEKO-TEX)	3 months to reinstate	Contract termination
ZDHC Chemical Non-Compliance	3 months to remediate	Contract termination

Rationale: Per-week flat rate chosen over per-day to reflect fair treatment of a new supplier relationship. 8% cap is consistent with fast-fashion contract practice given shipment value at scale. Quality improvement trajectory uses measurable thresholds ensuring the clause is legally enforceable.

References

Question 1 — Supplier Evaluation Criteria

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Question 2 — Procurement Contract Clauses

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